Goldman Sachs Research

Equity Research

13 March 2026 | 8:58PM CST

Zhen Ding Technology Holding (4958.TW)

Pricing hike to drive profitability for IC substrate business in 2026; Buy

4958.TW	12m Price Target: **NT$228.00**	Price: **NT$171.50**	Upside: **32.9%**

ZDT held its 4Q25 results call on Mar 12th. Key takeaways from management include:

(1) The company expect its IC substrate (including ABF and BT substrate) business to see solid growth in 2026 with demand driven by substrate upgrade trend. With more advanced ABF specification under qualification (28 layers/158 x 158 mm size vs. normal AI IC substrate spec of 14-18 layers/60-75 x 60-75mm), which we believe is for CSP's ASIC projects, management also mentioned ABF business will turn profitable this year.

(2) For BT substrate, ZDT mentioned UTR continues to stay at a high level with orders in Jan+Feb for BT substrate reaching historical level, which we believe is driven by high memory demand. The company will continue debottlenecking the Qinghuangdao plant, which will increase its capacity in this year.

(3) The company have implemented price adjustment for both old and new products for different product lines due to the shortage in raw material (including low to high end glass, gold, copper, etc), and sees more flexibility to further raise price if demand and supply condition continues to mismatch.

(4) ZDT expect AI servers and ASIC will continue to drive demand for HDI & multi-layer PCB, with growth to accelerate in 2H26. For high layer PCB, the company has entered mass production for 20-30 layers PCB (for mainstream AI PCB), with 30-50 layers PCB (for next gen AI PCB) in NPI, and is developing toward 70-80 layers PCB (which we believe is for future high-end products, such as backplane, CoWoP, etc).

(5) The demand for FPC is increasing, driven by energy storage (multiple-fold growth), AI glasses (double digit growth) and new foldable phones. Per ZDT, the key smartphone customer is expecting to release foldable phone this year, and we expect it to

BUY

Chao Wang
+886(2)2730-4195 | kuan-chao.wang@gs.com
Goldman Sachs (Asia) L.L.C., Taipei Branch

Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

Al Wang
+886(2)2730-4081 | al.wang@gs.com
Goldman Sachs (Asia) L.L.C., Taipei Branch

Key Data

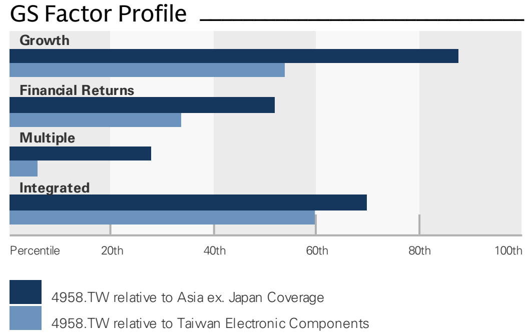
Market cap: NT$168.4bn / $5.3bn
Enterprise value: NT$205.8bn / $6.5bn
3m ADTV: NT$4.0bn / $125.3mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**182,521.6**	**220,615.6**	**277,305.8**	**345,114.2**
Revenue (NT$ mn) Old	183,402.5	220,131.9	270,400.3	–
EBITDA (NT$ mn)	34,259.5	45,461.3	60,541.4	75,354.7
EPS (NT$) New	**6.91**	**14.04**	**21.67**	**29.01**
EPS (NT$) Old	7.50	14.69	21.58	–
P/E (X)	18.6	12.2	7.9	5.9
P/B (X)	0.8	1.0	0.9	0.8
Dividend yield (%)	2.7	4.1	6.3	8.5
CROCI (%)	12.8	15.5	17.2	18.2

	12/25	3/26E	6/26E	9/26E
EPS (NT$)	3.16	1.03	1.47	4.86

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY

Zhen Ding Technology Holding (4958.TW)

Rating since Apr 29, 2025

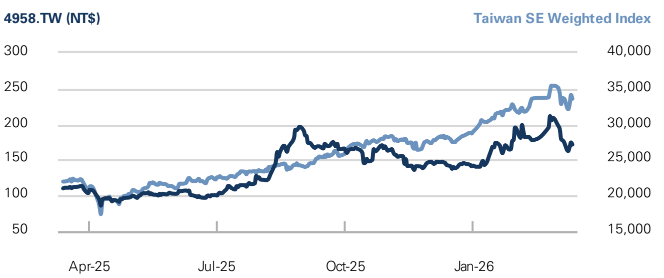
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.6	12.2	7.9	5.9
P/B (X)	0.8	1.0	0.9	0.8
FCF yield (%)	6.0	(4.3)	(1.3)	3.6
EV/EBITDAR (X)	4.2	4.6	3.8	3.2
EV/EBITDA (excl. leases) (X)	4.2	4.6	3.7	3.2
CROCI (%)	12.8	15.5	17.2	18.2
ROE (%)	6.1	12.1	17.4	21.1
Net debt/equity (%)	(17.9)	(9.0)	(2.9)	(1.6)
Net debt/equity (excl. leases) (%)	(18.6)	(9.7)	(3.4)	(2.1)
Interest cover (X)	5.9	9.3	14.7	19.9
Days inventory outst, sales	35.2	30.7	29.2	28.9
Receivable days	62.6	57.3	55.4	54.8
Days payable outstanding	54.1	51.9	52.5	52.6
DuPont ROE (%)	4.3	8.2	11.3	13.3
Turnover (X)	0.7	0.7	0.9	1.0
Leverage (X)	1.7	1.7	1.7	1.7
Gross cash invested (ex cash) (NT$)	245,050.5	294,256.6	349,629.7	406,276.7
Average capital employed (NT$)	128,889.6	142,495.5	170,354.0	199,545.0
BVPS (NT$)	162.13	172.01	191.79	218.27

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	6.3	20.9	25.7	24.5
EBITDA growth	16.8	32.7	33.2	24.5
EPS growth	(28.5)	103.0	54.4	33.9
DPS growth	(28.0)	103.0	54.4	33.9
EBIT margin	7.6	10.0	12.6	13.7
EBITDA margin	18.8	20.6	21.8	21.8
Net income margin	3.7	6.4	7.8	8.4

Price Performance



	3m	6m	12m
Absolute	19.9%	1.5%	51.8%
Rel. to the Taiwan SE Weighted Index	0.7%	(23.0)%	0.7%

Source: FactSet. Price as of 12 Mar 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	182,521.6	220,615.6	277,305.8	345,114.2
Cost of goods sold	(146,385.2)	(172,774.5)	(213,003.0)	(261,307.5)
SG&A	(10,392.9)	(12,273.0)	(13,638.2)	(16,977.3)
R&D	(11,811.9)	(13,400.9)	(15,691.4)	(19,544.4)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**34,259.5**	**45,461.3**	**60,541.4**	**75,354.7**
Depreciation & amortization	(20,327.9)	(23,294.2)	(25,568.2)	(28,069.8)
EBIT	**13,931.6**	**22,167.2**	**34,973.1**	**47,285.0**
Net interest inc./(exp.)	1,372.5	1,651.3	1,034.6	562.2
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**14,062.7**	**23,467.2**	**36,273.1**	**48,585.0**
Provision for taxes	(3,457.6)	(3,605.0)	(5,643.1)	(7,578.9)
Minority interest	(3,814.6)	(5,820.7)	(8,956.0)	(11,983.6)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**6,790.5**	**14,041.5**	**21,674.1**	**29,022.5**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**6,790.5**	**14,041.5**	**21,674.1**	**29,022.5**
EPS (basic, pre-except) (NT$)	**6.91**	**14.04**	**21.67**	**29.01**
EPS (diluted, pre-except) (NT$)	**6.91**	**14.04**	**21.67**	**29.01**
EPS (basic, post-except) (NT$)	**6.91**	**14.04**	**21.67**	**29.01**
EPS (diluted, post-except) (NT$)	**6.91**	**14.04**	**21.67**	**29.01**
DPS (NT$)	3.46	7.02	10.83	14.51
Div. payout ratio (%)	50.0	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	85,412.0	72,341.4	62,329.5	60,247.2
Accounts receivable	31,643.0	37,642.8	46,555.8	56,994.4
Inventory	17,211.6	19,841.1	24,509.9	30,068.3
Other current assets	4,058.4	4,058.4	4,058.4	4,058.4
Total current assets	**138,325.1**	**133,883.7**	**137,453.8**	**151,368.4**
Net PP&E	110,897.8	138,156.9	165,141.8	189,625.2
Net intangibles	1,543.5	990.3	437.1	(116.1)
Total investments	6,834.1	6,834.1	6,834.1	6,834.1
Other long-term assets	14,381.3	14,381.3	14,381.3	14,381.3
Total assets	**271,981.8**	**294,246.3**	**324,248.1**	**362,092.9**
Accounts payable	21,657.0	27,454.6	33,847.1	41,522.8
Short-term debt	21,706.4	21,706.4	21,706.4	21,706.4
Short-term lease liabilities	246.9	246.9	246.9	246.9
Other current liabilities	24,372.6	27,998.1	31,814.4	35,488.6
Total current liabilities	**67,982.9**	**77,406.0**	**87,614.8**	**98,964.8**
Long-term debt	34,011.7	34,011.7	34,011.7	34,011.7
Long-term lease liabilities	872.6	872.6	872.6	872.6
Other long-term liabilities	9,881.2	9,881.2	9,881.2	9,881.2
Total long-term liabilities	**44,765.4**	**44,765.4**	**44,765.4**	**44,765.4**
Total liabilities	**112,748.3**	**122,171.4**	**132,380.2**	**143,730.2**
Preferred shares	–	–	–	–
Total common equity	112,213.5	119,234.2	130,071.3	144,582.5
Minority interest	**47,020.0**	**52,840.6**	**61,796.6**	**73,780.2**
Total liabilities & equity	**271,981.8**	**294,246.3**	**324,248.1**	**362,092.9**
Net debt, adjusted	(29,693.9)	(16,623.3)	(6,611.4)	(4,529.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	6,790.5	14,041.5	21,674.1	29,022.5
D&A add-back	20,327.9	23,294.2	25,568.2	28,069.8
Minority interest add-back	3,814.6	5,820.7	8,956.0	11,983.6
Net (inc)/dec working capital	34.0	(2,831.6)	(7,189.4)	(8,321.1)
Other operating cash flow	–	–	–	–
Cash flow from operations	**30,967.1**	**40,324.7**	**49,008.9**	**60,754.7**
Capital expenditures	(20,500.0)	(50,000.0)	(52,000.0)	(52,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	–	–	–	–
Cash flow from investing	**(20,500.0)**	**(50,000.0)**	**(52,000.0)**	**(52,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(4,557.1)	(3,395.3)	(7,020.8)	(10,837.0)
Inc/(dec) in debt	–	–	–	–
Other financing cash flows	0.0	0.0	0.0	0.0
Cash flow from financing	**(4,557.1)**	**(3,395.3)**	**(7,020.8)**	**(10,837.0)**
Total cash flow	**5,910.0**	**(13,070.6)**	**(10,011.9)**	**(2,082.3)**
Free cash flow	10,467.1	(9,675.3)	(2,991.1)	8,754.7

Source: Company data, Goldman Sachs Research estimates.

have 30-50% more FPC dollar content vs. standard smartphone due to the more complex design.

(6) For optical-related business, the company mentioned that orders are primarily driven by 800G/1.6T with order visibility remaining high, while some clients are already booking 2027 capacity.

(7) Management remains confident in its CAPEX plan, revised up from previous guidance of NT$30bn to NT$50bn+ in 2026, and is likely to sustain the similar level through 2027/28. This year's CAPEX is primarily for expanding HDI and higher layer count PCBs (~60% of CAPEX), with the remainder allocated between IC substrates and FPC. 10 factories across Huai'an, Thailand and Taiwan are under construction, in order to meet increasing clients demand.

ZDT 4Q25 core business (OPI) was 11%/4% lower than GSe/BBG consensus, while GM was slightly lower than GSe/consensus by 0.2/0.2ppt in 4Q25 mainly due to the negative impact from rising raw material cost and higher depreciation cost. The company spent NT$6,909mn OPEX in 4Q25, which was higher than GSe/BBG consensus of NT$6,295mn/NT$6,247mn. For earnings, these were 13%/21% lower than GSe/BBG consensus.

Going into 1Q26, we expect ZDT revenue to go down by 23% QoQ, mainly due to the weakness in mobile communication business, reflecting typical seasonality. For GM, we expect ZDT's 1Q26 GM to further go down by 5.7ppt QoQ to 16.9%, after factor in the worsening product mix. Overall, we believe ZDT's 1Q26 EPS will go down to NT$1.03 vs. NT$3.16 in 4Q25, with weak smartphone seasonality despite the substrate demand outlook remaining strong.

Investment view

We remain positive on substrate business outlook, while ZDT's ABF capacity UTR is currently at 70-80% (vs. peer average of 74% in 4Q25) and the company expects to reach full UTR by 2H26. We believe the company will have the ability to increase ABF price under full UTR and strong demand, while the industry remains conservative with its capacity expansion plans over the next 1-2 years. The company mentioned price adjustments for its ABF products, which is in line with our view that ABF pricing will go up ~10% QoQ per quarter for the rest of 2026 and we expect ABF shortage could start from 2H26 (see here). The business condition for ABF substrate is good with price increase, and the company expect the business to turn profitable this year, which was loss making in 2025 (we estimate IC substrate business had a negative impact of more than NT$1/share, which is around 14% of 2025 EPS).

We expect that the ABF capacity shortage will drive ZDT's market share considering the company's technology skillset, including (1) the CEO of the IC substrate business previously served as the CEO of Unimicron, one of the leading ABF substrate suppliers, with a technical background focused on ABF factory expansion, this experience is expected to drive the technology upgrade of ZDT's IC substrate business; (2) the company's ABF substrate factory features high level of automation; and (3) having world-class ABF equipment with continuous investment in advanced equipment.

AI server demand is likely to accelerate in 2H26. The company has passed verification for PCB supply in Vera Rubin's compute tray, and we expect the contribution to become more meaningful in 2H26-1H27, with good profitability (average OPM of 20-30% for AI computing tray vs. company overall OPM of 10-15%), assuming the company continues to deliver good yield.

The company expect to expand 15 factories as a long term strategy, this is in line with our positive view of AI PCB to see 140% 2025-27E CAGR (see here), and we believe ZDT will be one of the winners in the AI era considering its good execution history and aggressive capacity expansion plan compared to peer companies.

Overall, we reiterate our Buy-rating on ZDT, with a new 12m TP of NT$228 (from NT$200).

Exhibit 1: ZDT's 4Q25 earnings comp table

ZDT (4958.TW)	4Q25			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	3Q25	QoQ	4Q24	YoY	Consensus	%
Revenue	56,870	57,750	-2%	47,366	20%	56,133	1%	51,731	10%
Gross profits	12,830	12,917	-1%	10,410	23%	11,471	12%	11,467	12%
Operating profits	5,921	6,622	-11%	4,530	31%	5,554	7%	6,022	-2%
Pre-tax income	5,673	6,622	-14%	4,661	22%	7,760	-27%	6,460	-12%
Net earnings	3,161	3,642	-13%	2,392	32%	4,363	-28%	3,968	-20%
EPS, NT$	3.16	3.74	-16%	2.46	28%	4.60	-31%	3.92	-19%
Gross margin (%)	22.6%	22.4%	0.2ppt	22.0%	0.6ppt	20.4%	2.1ppt	22.2%	0.4ppt
EBIT margin (%)	10.4%	11.5%	-1.1ppt	9.6%	0.8ppt	9.9%	0.5ppt	11.6%	-1.2ppt
Net margin (%)	5.6%	6.3%	-0.7ppt	5.0%	0.5ppt	7.8%	-2.2ppt	7.7%	-2.1ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We revise down our 2026E net income estimate by 2% to factor in the higher raw material cost and revise up our 2027E net income by 3% to factor in higher AI-related contribution. We cut our 2026E GPM by 0.2ppt to reflect higher cost related to capacity ramp up and raise our 2027E GPM by 0.1ppt to factor in improved product mix.

In this report, we introduce our 2028 estimates.

Exhibit 2: Earnings revision table

ZD Tech P&L (NT$ mn)	2025E New	2025E Old	Diff.	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New
Sales	182,522	183,402	0%	220,616	220,132	0%	277,306	270,400	3%	345,114
Gross Profit	36,136	36,223	0%	47,841	48,101	-1%	64,303	62,360	3%	83,807
EBIT	13,932	14,633	-5%	22,167	22,596	-2%	34,973	33,847	3%	47,285
Net Income	6,791	7,271	-7%	14,042	14,299	-2%	21,674	21,006	3%	29,023
EPS (NT$)	**6.91**	**7.50**	**-8%**	**14.04**	**14.69**	**-4%**	**21.67**	**21.58**	**0%**	**29.01**
Ratio analysis										
Gross margin	19.8%	19.8%	0.0pp	21.7%	21.9%	-0.2pp	23.2%	23.1%	0.1pp	24.3%
EBIT margin	7.6%	8.0%	-0.3pp	10.0%	10.3%	-0.2pp	12.6%	12.5%	0.1pp	13.7%
Net margin	3.7%	4.0%	-0.2pp	6.4%	6.5%	-0.1pp	7.8%	7.8%	0.0pp	8.4%

Source: Company data, Goldman Sachs Global Investment Research

Valuation

We maintain our Buy-rating on ZDT with a new 12m TP of NT$228 (from NT$200), which is based on a SOTP-based valuation in 2H26-1H27E (from 2026; substrate value of NT$53 per share, AI PCB is NT$94 per share, while FPC is NT$82 per share), with a breakdown by ABF substrate, high growth AI server PCB, and consumer electronics, and factoring in our earnings revisions.

Exhibit 3: P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025E	2026E	2027E	2028E
Revenue	40,082	38,203	47,366	56,870	43,691	43,688	60,443	72,793	55,531	59,442	75,836	86,496	171,664	182,522	220,616	277,306	345,114
Gross profit	5,885	7,011	10,410	12,830	7,362	8,393	14,472	17,614	10,502	12,467	19,404	21,930	32,461	36,136	47,841	64,303	83,807
Operating expense	(4,829)	(4,586)	(5,880)	(6,909)	(5,724)	(5,985)	(6,467)	(7,498)	(6,108)	(6,955)	(7,963)	(8,304)	(20,875)	(22,205)	(25,674)	(29,330)	(36,522)
Operating income	1,056	2,425	4,530	5,921	1,638	2,408	8,005	10,116	4,394	5,512	11,441	13,626	11,586	13,932	22,167	34,973	47,285
Pretax income	1,457	2,272	4,661	5,673	1,738	2,508	8,105	11,116	4,494	5,612	11,541	14,626	15,045	14,063	23,467	36,273	48,585
Taxes expense	(431)	(885)	(1,072)	(1,070)	(296)	(426)	(1,216)	(1,667)	(764)	(954)	(1,731)	(2,194)	(1,948)	(3,458)	(3,605)	(5,643)	(7,579)
Net income	632	605	2,392	3,161	1,034	1,475	4,863	6,670	2,674	3,300	6,925	8,776	9,180	6,791	14,042	21,674	29,023
EPS, NT$	**0.66**	**0.63**	**2.46**	**3.16**	**1.03**	**1.47**	**4.86**	**6.67**	**2.67**	**3.30**	**6.92**	**8.77**	**9.67**	**6.91**	**14.04**	**21.67**	**29.01**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	14.7%	18.4%	22.0%	22.6%	16.9%	19.2%	23.9%	24.2%	18.9%	21.0%	25.6%	25.4%	18.9%	19.8%	21.7%	23.2%	24.3%
Operating expense ratio	12.0%	12.0%	12.4%	12.1%	13.1%	13.7%	10.7%	10.3%	11.0%	11.7%	10.5%	9.6%	12.2%	12.2%	11.6%	10.6%	10.6%
Operating margin	2.6%	6.3%	9.6%	10.4%	3.8%	5.5%	13.2%	13.9%	7.9%	9.3%	15.1%	15.8%	6.7%	7.6%	10.0%	12.6%	13.7%
Net margin	1.6%	1.6%	5.0%	5.6%	2.4%	3.4%	8.0%	9.2%	4.8%	5.6%	9.1%	10.1%	5.3%	3.7%	6.4%	7.8%	8.4%
QoQ growth (%)																	
Revenue	-28.6%	-4.7%	24.0%	20.1%	-23.2%	0.0%	38.4%	20.4%	-23.7%	7.0%	27.6%	14.1%	-	-	-	-	-
Gross profit	-48.7%	19.1%	48.5%	23.2%	-42.6%	14.0%	72.4%	21.7%	-40.4%	18.7%	55.6%	13.0%	-	-	-	-	-
Operating income	-81.0%	129.6%	86.8%	30.7%	-72.3%	47.0%	232.5%	26.4%	-56.6%	25.5%	107.6%	19.1%	-	-	-	-	-
Net income	-85.5%	-4.3%	295.3%	32.2%	-67.3%	42.6%	229.8%	37.2%	-59.9%	23.4%	109.8%	26.7%	-	-	-	-	-
YoY growth (%)																	
Revenue	23.3%	17.9%	-6.4%	1.3%	9.0%	14.4%	27.6%	28.0%	27.1%	36.1%	25.5%	18.8%	13%	6%	21%	26%	24%
Gross profit	10.3%	65.1%	-8.7%	11.9%	25.1%	19.7%	39.0%	37.3%	42.7%	48.5%	34.1%	24.5%	18%	11%	32%	34%	30%
Operating income	42.2%	-476.8%	-23.6%	6.6%	55.2%	-0.7%	76.7%	70.9%	168.2%	128.9%	42.9%	34.7%	26%	20%	59%	58%	35%
Net income	-35.3%	24.5%	-28.7%	-27.5%	63.5%	143.7%	103.3%	111.0%	158.5%	123.8%	42.4%	31.6%	48%	-26%	107%	54%	34%

Source: Company data, Goldman Sachs Global Investment Research

Zhen Ding Technology (ZDT) is the global leading PCB supplier (top 1 in market share in sales) with 7-10% market share, and started its ABF substrate business from 2023 in Shenzhen, China, and has the highest ABF revenue exposure to the China market compared to all other ABF substrate suppliers. We believe ZDT will hold more than 40% ABF substrate market share in China by 2027E (up from 31% in 2024) and benefit the most from the strong and growing China ABF substrate market (53% 2025E-27E CAGR) due to the increasing in-sourcing ratio for the AI computing ASIC/GPU market in China. We also expect the increasing foldable smartphone penetration rate in the long term to drive ZDT's FPC TAM, and account for 55%+ of the company's total revenue in 2027E. We see further revenue upside potential from foldable phones. We are Buy rated mainly due to our positive view on the company's China ABF substrate business opportunity, which should not only drive ZDT's revenue growth, but also improve its OPM level in the long term. We see upside for the stock price considering the company's solid growth opportunity, and our TP implied P/E multiple is still lower than the company's past 10+ year P/E average, which we believe is fair considering the potential upside from China ABF substrate market and increasing foldable phone penetration rate.

Valuation: Our 12-month TP of NT$228 is based on a SOTP valuation methodology, including (1) 2.6x blended 2H26-1H27E P/B for ABF & BT substrate, (2) 20x 2H26-1H27E P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x 2H26-1H27E P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation).

Key downside risks include: (1) weaker-than-expected iPhone demand or slower content upgrade, (2) delay in new substrate capacity or slower-than-expected yield rate ramp up progress, and (3) fiercer competition in China ABF market.

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Zhen Ding Technology Holding is/are relative to the other companies in its/their coverage universe: AWSC, Airtac International Group, Delta Electronics, Elite Material, GCE, Hiwin Corp., ITEQ Corp, Kinsus, Lotes, NYPCB, Taiwan Union Technology Corp., Unimicron Technology, Win Semiconductors Corp., Yageo Corp., Zhen Ding Technology Holding

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs beneficially owned 1% or more of common equity (excluding positions managed by affiliates and business units not required to be aggregated under US securities law) as of the month end preceding this report: Zhen Ding Technology Holding (NT$171.50)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Zhen Ding Technology Holding (NT$171.50)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Zhen Ding Technology Holding (NT$171.50)

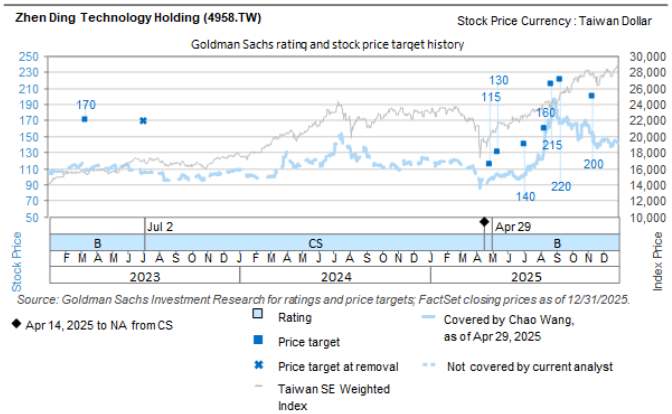
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	61%	46%

As of January 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,055 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Distribution of ratings: See the distribution of ratings disclosure above. **Price chart:** See the price chart, with changes of ratings and price targets in prior periods, above, or, if electronic format or if with respect to multiple companies which are the subject of this report, on the Goldman Sachs website at https://www.gs.com/research/hedge.html.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details can be found at: https://www.goldmansachs.com/worldwide/india/documents/Grievance-Redressal-and-Escalation-Matrix.pdf, and a copy of the annual audit compliance report can be found at this link: https://publishing.gs.com/content/site/india-annual-compliance-report.html. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, The Investment Trusts Association, Japan, and Japan Investment Advisers Association. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company neither has a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.